MODULE 40 · DOMAIN 3 - BUSINESS ENVIRONMENT

The external business environment

Scanning for regulatory, technological, geopolitical and market change, assessing its impact on scope and the backlog, and reviewing it continually.

DOMAIN III - Business Environment EXAM WEIGHT 26% MODULE 40 of 49

admin@sthithapragna.com

Projects live in a world that keeps moving.
Look outward, regularly.

admin@sthithapragna.com

PESTLE: a prompt for scanning

FACTOR	EXAMPLES
Political	Elections, government priorities, trade policy, sanctions
Economic	Inflation, interest rates, exchange rates, recession
Social	Customer behaviour, demographics, workforce expectations
Technological	New tools such as AI, obsolescence, vendor end-of-life
Legal	New laws and regulations, court rulings, standards
Environmental	Climate impacts, environmental rules, resource scarcity

ON THE EXAM

PESTLE is a checklist, so nothing obvious is missed. The outline's four examples all fit inside it.

Surveying the external environment

- The outline's first enabler: **survey changes to the external business environment**.
- Sources: regulators and their consultations, industry bodies, news, suppliers, customers.
- Internal specialists: legal, compliance, procurement, finance, strategy teams.
- Assign an **owner** for scanning, and a regular rhythm, so it actually happens.

> ON THE EXAM
>
> Scanning that belongs to nobody does not happen. Give it an owner and a rhythm.

The outline's four examples

CHANGE	POSSIBLE IMPACT ON A PROJECT
Regulation	New requirements; features to add or change; compliance deadlines
Technology	A better tool to adopt; a platform going out of support
Geopolitical	Sanctions, tariffs or conflict disrupting suppliers and costs
Market	Competitors, customer demand or prices changing the value of scope

ON THE EXAM

Each can change scope, cost, schedule, risk, or the business case itself.

Responding to an external change

01
Detect
Through regular scanning.

02
Assess
What does it change for scope, cost, time, value?

03
Prioritise
How big, how likely, how soon?

04
Act
Backlog, change request, or risk response.

05
Communicate
Tell the decision-makers and those affected.

ON THE EXAM

Detect early, assess the impact, prioritise, act through the right channel, and tell people.

Assessing and prioritising impact

- The outline asks you to **assess and prioritise impact on project scope or backlog**.
- Has it happened, or might it? Happened is an issue; might is a risk.
- How large is the effect, and how soon must we act?
- Does it change the **value** of planned work, or the business case itself?
- Reacting to every headline is as harmful as ignoring the environment.

> ON THE EXAM
>
> Prioritise external changes by impact and timing. Act on the few that matter; watch the rest.

Responding in predictive or adaptive work

PREDICTIVE

Through change control

- Assess against the baselines
- Raise a change request
- The right authority decides
- Update plan and baselines

ADAPTIVE

Through the backlog

- Assess with the product owner
- Add or reorder backlog items
- Adjust the roadmap
- Deliver in the next iterations

THE TIEBREAKER

The outline says 'scope or backlog'. Use whichever mechanism the approach uses.

Geopolitical and supply chain change

- Sanctions, export controls, tariffs and conflict can cut off suppliers overnight.
- Know where critical components and services come from, including subcontractors.
- Identify alternative suppliers before you need them; consider buffer stock for critical items.
- Treat exposure as a risk, with procurement, legal and finance involved.

> ON THE EXAM
>
> Geopolitical risk is supply chain risk. Map dependencies, and plan alternatives early.

Technology change

- **Opportunity**: a new tool, such as AI assistance, may speed delivery or improve the product.
- **Threat**: a platform or component reaching end of support during or after the project.
- Evaluate new technology against value, risk and readiness; pilot before adopting.
- Chasing every new trend mid-project is as risky as ignoring obsolescence.

> ON THE EXAM
>
> Technology change can be an opportunity or a threat. Evaluate, pilot, then decide.

Market and regulatory change

- **Market**: a competitor launch, changing demand, inflation or interest rates can change the value of scope.
- **Regulation**: new or proposed laws bring requirements and deadlines, often with transition periods.
- Market changes may mean re-prioritising, or revisiting the business case with the sponsor.
- Regulatory changes flow into compliance requirements, as module 33 described.

> ON THE EXAM
>
> Market change challenges value; regulatory change adds obligations. Both go to the people who decide.

Reviewing continually

- The outline's third enabler: **continually review the external business environment**.
- Add an external scan to regular risk reviews, and to every phase gate or release review.
- Keep a short watch list of changes that are proposed but not yet certain.
- Feed findings into the risk register, the backlog, and stakeholder communication.

> ON THE EXAM
>
> External review is a routine, not a reaction. Build it into reviews you already hold.

Project Lantern: looking outward

- **Regulatory**: a proposed regional data-sharing rule, escalated to the portfolio board (module 37).
- **Geopolitical**: a chip shortage threatened kiosk supply; a second supplier was qualified early.
- **Technology**: a new text-message service cut reminder costs; piloted at one clinic, then adopted.
- **Routine**: an external scan is the first item of every monthly risk review.

> ON THE EXAM
>
> Regulatory, geopolitical and technology changes spotted early and acted on through the right channel.

Scenario signals and the move

THE SCENARIO SAYS	THE MOVE
A new regulation is announced	Assess impact; add or reorder scope or backlog
Sanctions or tariffs threaten a supplier	Assess exposure; line up alternatives; update risks
A market shift changes the value of scope	Re-prioritise; revisit the business case with the sponsor
A platform goes out of support	Assess impact and options; decide through change control
An external change was missed until it hit	Set up regular scanning with an owner
Several external changes at once	Prioritise by impact and timing

ON THE EXAM

Scan regularly, assess impact on scope or backlog, prioritise, and act through the right channel.

A government announces an accessibility regulation for online services, taking effect in nine months. An agile team is building a public-facing booking service that will launch in six months.

The current backlog does not include accessibility work.

What should the project leader do?

A Ignore the regulation until it takes effect.

B Assess the impact with the compliance team, and work with the product owner to add and prioritise accessibility work in the backlog.

C Stop development until the regulation's full details are published.

D Escalate the regulation to the chief executive.

◆ PAUSE AND DECIDE

What should the project leader do?

A Ignore it for now.

The service launches before the rule takes effect, and must still comply three months later.

B Assess; add to the backlog with the product owner.

Assesses impact on the backlog and acts through the adaptive mechanism.

C Stop development.

Wastes months; the direction of the rule is already clear.

D Escalate to the chief executive.

A product-level response the team and product owner can handle.

THE SIGNAL

External regulation on agile work: assess the impact and put it into the backlog, now.

> New export restrictions have been announced on a country where the project's only supplier of a critical control unit manufactures it. Deliveries are due in four months.
>
> The supplier says it is 'looking into' the impact.

What should the project manager do?

A Wait for the supplier to confirm whether deliveries are affected.

B Order a large stock of the units immediately, without further analysis.

C Cancel the contract and redesign the product without the unit.

D Assess the exposure, identify alternative suppliers with procurement, and update the risk register and response plan.

◆ PAUSE AND DECIDE

What should the project manager do?

A Wait for the supplier.

Loses weeks of the four months available to prepare.

B Stockpile without analysis.

May be impossible under the restrictions, and commits money blindly.

C Cancel and redesign.

A drastic step before the impact is even known.

D Assess, find alternatives, update risks.

A proportionate response to a geopolitical supply risk, with time to act.

THE SIGNAL

A geopolitical threat to a single supplier: assess exposure and line up alternatives now.

> A bank is building a new car-loan app. Since the business case was approved, interest rates have risen sharply, and demand for car loans has fallen by a third.
>
> The team is building the loan features in the original order.

What should the project manager do?

A Assess the impact on the business case and backlog priorities, and take the analysis to the sponsor and product owner.

B Continue as planned, since the business case was approved.

C Lower the loan interest rate in the app to restore demand.

D Stop the project immediately.

◆ PAUSE AND DECIDE

What should the project manager do?

A Assess impact; take to sponsor and product owner.

Assesses a market change's effect on value, and puts it with the decision-makers.

B Continue as planned.

Ignores a change that cuts expected demand by a third.

C Lower the rate.

A commercial decision far outside the project manager's authority.

D Stop immediately.

Premature. The sponsor may re-scope rather than stop.

THE SIGNAL

A market shift that changes the value of scope: analyse it and bring it to the people who own value.

> A project is building a system on a software platform. The vendor announces that the platform will reach end of support in eighteen months. The project finishes in twelve.
>
> After that, the system would run on an unsupported platform.

What should the project manager do?

A Ignore it, since support ends after the project has closed.

B Switch to a different platform immediately, without analysis.

C Assess the impact and the options, such as migrating now or planning a later upgrade, and take them through change control.

D Ask the vendor for an extension, and take no other action.

◆ PAUSE AND DECIDE

What should the project manager do?

A Ignore it.

Hands operations a system six months from unsupported. Value and security suffer.

B Switch now, unanalysed.

A major change with cost and schedule impact, made blindly.

C Assess options; decide through change control.

Treats a technology change properly: analysis, options, the right decision-maker.

D Only ask for an extension.

Worth asking, but not a plan on its own.

THE SIGNAL

A technology change that hits after closure still matters. Assess it now and decide properly.

> A project's costs rose by eight percent after new import tariffs took effect. The tariffs had been publicly debated for four months, but nobody on the project noticed.
>
> The sponsor asks how this can be avoided in future.

What should the project manager recommend?

A. Hold the procurement team responsible for missing the tariffs.

B. Set up regular scanning of the external environment, with an owner, as part of the risk reviews.

C. Add a larger contingency reserve to future projects.

D. Accept that external changes cannot be predicted.

◆ PAUSE AND DECIDE

What should the project manager recommend?

A Blame procurement.
Nobody owned scanning. Blame fixes nothing.

B Regular scanning with an owner, in risk reviews.
Continual review of the external environment, as the outline asks.

C Bigger contingency.
Pays for surprises instead of spotting them.

D Accept unpredictability.
These tariffs were public for four months. They were predictable.

THE SIGNAL

A public change missed until it hit: nobody was scanning. Give scanning an owner and a rhythm.

> In one week, the project manager learns of three external changes: a regulation under consultation for two years' time, a competitor feature launched yesterday, and an exchange-rate swing affecting five percent of project costs.
>
> Time to respond is limited.

How should the project manager handle them?

A Give all three equal attention and effort.

B Focus only on the regulation, since compliance is mandatory.

C Respond to the competitor launch first, since it is the newest.

D Assess each for impact and timing on the project, prioritise, and respond to each proportionately.

◆ PAUSE AND DECIDE

How should the project manager handle them?

A Equal effort for all.
Wastes limited time on the least urgent changes.

B Regulation only.
It is two years away and still changing; the others are here now.

C Newest first.
Recency is not impact.

D Assess, prioritise, respond proportionately.
The outline's enabler: assess and prioritise impact.

THE SIGNAL

Several external changes: assess and prioritise by impact and timing. Watch the distant ones; act on the pressing ones.

Scan regularly. Assess the impact. **Act through the right channel.**

admin@sthithapragna.com